

Credit Default Swaps: The Unethical Weapon of the Power Elite

I. Introduction

In the aftermath of the 2008 financial crisis, the public became familiar with the idea that the failure of a single massive bank could trigger a widespread domino effect, bringing down the entire global economy. Government regulators have spent over a decade trying to make the banking system safer, but in the shadows of finance, a highly controversial and risky practice has resurfaced. Central to this re-emerging risk is a complex credit derivative that was once a standard insurance tool: the Credit Default Swap (CDS).

From the outside, a Credit Default Swap functions as a standard insurance policy, yet when analyzed closely, its mechanics are far more aggressive. In a basic CDS contract, there are two parties: a "buyer" and a "seller." The buyer makes regular payments (insurance premiums) to the seller. In exchange, the seller agrees to pay the buyer a large sum of money if a third party (usually a large corporation) defaults on its debt (Fletcher, 2018, p.1075). Essentially, it is a way to trade the risk of a company going bankrupt.

Originally created as a simple tool to remove risk, CDS has done quite the opposite, introducing new layers of volatility to an already fragile market. Billions of dollars of debt are insured using CDS, while the very same CDS insurance is once again insured, creating a web of defaults ready to be broken. These actions have created a landscape where a single default could

potentially wipe out entire companies, mirroring the catastrophic ‘domino’ effects seen in 2008. However, the insurance companies are not the only ones affected. “Large and sudden demands for variation margin may exceed a firm's ability to pay, leading some firms to delay or forgo payments. These shortfalls can become amplified through the network of exposures” (Paddrik, 2016). The line between reasonable risk and industry-wide panic is not just fine, yet growing increasingly invisible as Credit Default Swaps allow banks to hide the true extent of their exposure, pushing the entire industry to the brink of collapse.

However, the ethical crisis of this mechanism is not found in its standard application, but rather in the disconnect between lenders' legal rights and financial interests. This separation leads to two distinct paths for credit manipulation. First, the element of ‘naked’ credit protection. Outside investors can buy CDS insurance on a loan they do not own, essentially betting on a company failure. Second, and more importantly, is the phenomenon described by legal scholar Henry T. C. Hu, known as the “Empty Creditor” phenomenon where lenders are incentivized to engineer corporate outcomes for financial gain (Hu, 2018). Both these elements allow elite institutions to push the limits of their legal rights, turning CDS contracts into a tool to influence the private credit markets.

While these strategies have highlighted the potential for insurance abuse, much of the financial industry maintains that these tools are not inherently malicious. Proponents of credit derivatives argue for their essential nature for institutional risk management and global liquidity. These contracts function as a safe investment strategy, providing consistent, safe returns on investment. The data backs up the majority of this claim as well, with returns ranging all the way to 500 basis points or 5% (Augustin et al., 2020). This is an extremely strong return, often

outpacing traditional savings accounts. This led to a rush of investors pouring funds into credit derivatives, growing the CDS market to 67 trillion dollars at its peak (Benzoni et al., 2023). On top of the investment opportunity these instruments provide, the market these contracts are bought and sold is supposedly ‘self-regulating’—investors may choose to invest their money elsewhere if dissatisfied with returns.

This paper argues that the CDS is no longer a neutral tool for managing risk. Instead, it has become a tool used by a small group of elite financial institutions, a "Power Elite", to manipulate markets for their own gain. Because these institutions are often considered "Too Big to Fail," they are able to take massive, predatory risks knowing that if their bets destabilize the economy, the public will ultimately be forced to pay for the bailout (Nurisso and Prescott, 2017, p.2).

II. Theoretical Framework: The Science of Strategy

To understand how these institutions operate, we must look at two specific academic lenses: Game Theory and Elite Theory.

A. Game Theory and Strategic Interdependence

In every CDS contract, one party wins and loses. Either the bank pays the insurance company for protection they didn't need, or the insurance company pays the bank a large payout. Both cannot win nor lose at the same time. Princeton mathematician John von Neumann called this relationship between the bank and insurance company a zero-sum game—"one person's gain always is another's loss" (Dixit and Nalebuff, 2008). This is ideal, as collusion between lenders

and insurance companies is inadvertently eliminated, due to the fact that one of the parties involved will lose out on the transaction if the other wins. This game between elite financial institutions creates a competitive environment, with both parties attempting to ‘beat’ the other side. The best way to understand this is with a payoff matrix, highlighting the outcomes for the parties involved in multiple scenarios:

Payoff Matrix	Borrower Repays Debt	Borrower Defaults on Debt
Lender without CDS	High Payoff (Lender) No Payoff (Insurance)	Low Payoff (Lender) No Payoff (Insurance)
Lender with CDS	Low Payoff (Lender) High Payoff (Insurance)	High Payoff (Lender) Low Payoff (Insurance)

Using a payoff matrix, it is possible to model the different outcomes of a traditional loan, and that of one with CDS contracts involved. In a traditional loan (without the lender purchasing CDS protection), the insurance company is not involved, and thus is indifferent to whether the borrower repays or defaults on their debt. Traditional loans also favor cooperation between the lender and borrower, as both parties win in the event of a debt repayment. However, these outcomes flip when CDS contracts become involved. In the event the borrower defaults on their debt, the lender, with CDS protection, is entitled to full payment from the insurance company. On the flip side, in the event the borrower repays their debt, the insurance company has made a

premium off the lender at no cost. Thus, the lender is incentivized to find the CDS contract that offers the best value, and the insurance company is incentivized to understand which loans and at what cost to sell insurance for.

In theory, this is a perfect system. When all parties involved in this financial game engage in ethical and fair business actions, CDS are a practical tool that allows elite institutions to reduce their exposure. The problem lies in when two or more parties within the relationship decide to engage in unethical business practices to manipulate the CDS contract in order to achieve financial gain. By utilizing game theory, I'll demonstrate that CDS contracts incentivize banks to make unethical decisions that can potentially lead to the collapse of the collective financial system. However, these strategic payoffs don't just exist in a vacuum; they're enabled by a structural hierarchy where a specific group (the Power Elite) has the authority to set the rules of the game.

B. Elite Theory: Who Sets the Rules?

While game theory explains the strategy, Elite Theory explains the power. Elite theory suggests that a small, wealthy group holds the real power in society, independent of democratic elections. According to C. Wright Mills, The criteria to be considered a 'power elite' is concentration in the corporate rich, military establishment, and political directorate (Mills, 1956). In the world of finance, this can be seen in the ISDA Determinations Committee. Containing members with extremely large military investments, huge government lobbying funds, and the largest banks in the World, this committee perfectly fits the description of a 'power elite'. This is

the standard-setting body that acts as the "referee" for the CDS market, deciding officially when a default has occurred.

The ethical issue is that this committee is composed of the world's largest banks (ISDA Board of Directors, 2018). This means the very people playing the game are also the ones acting as the referees. This concentration of power allows a small group of elite "players" to define the rules in ways that favor their own positions, effectively rigging the market against outsiders (Fletcher, 2018, p.1090).

By using Elite Theory, one can understand how CDS contracts are not only a financial instrument, but rather a way for a select group of "Power Elite" to externalize risk to the public while protecting their own capital.

III. Why Banks Prefer Failure: The Empty Creditor Hypothesis

The traditional foundation of banking is built on a shared interest: the lender wants the borrower to succeed so that the loan is repaid with interest. However, the introduction of Credit Default Swaps has outsourced the risk to a third party, typically an insurance company, one with countless prospective investors ready to fund contracts. Therefore, the lender gets paid regardless of the outcome. This has created a phenomenon known as the Empty Creditor Hypothesis. An "empty creditor" is a debt holder who has the legal right to control a company's fate but holds no economic risk if the company fails (Gamper, 2016, p.5). In fact, a creditor may purchase so much CDS insurance that they actually stand to make more money if the company goes bankrupt rather than if it thrives. This relationship is represented using a payoff matrix as shown below:

Payoff Matrix	Borrower Repays Their Debt (Success)	Borrower Defaults On Debt (Failure)
Traditional Lender (No CDS)	High Payoff: Loan is repaid with interest over time.	Low Payoff: Partial recovery through lengthy bankruptcy.
Empty Creditor (CDS)	Low Payoff: Only receives interest; CDS expires worthless.	High Payoff: Massive payout from CDS exceeds the loan loss.

As demonstrated in the payoff matrix, the introduction of CDS fundamentally alters the lender-borrower relationship to one of mutual benefit to financial conflict. Since these lenders are operating in a zero-sum framework they will choose to follow their own dominant strategy—choosing the best choice regardless of all the other players involved (Dixit and Neubluff, 2008). This inversion of the lender’s dominant strategy switches from one of wanting borrower success to borrower failure as best represented by the ‘Empty Creditor’ effect.

This fundamental change in the lender’s dominant strategy doesn’t just affect the desired outcome, but also the actions taken by the lender. Normally, when a company is in financial trouble, it meets with its lenders to "restructure" the debt: this might mean lowering interest rates, granting board voting rights, or even extending the deadline to make payments. This is a cooperative process. However, the introduction of CDS completely flips the script.

Lenders may now want to push a borrower to default, and refuse to work cooperatively with a company, and may even try to sabotage its success. The empty creditor could use its legal seat on the board to sabotage the company from the inside. They may refuse to extend deadlines

for debt. They could even pressure other investors to withdraw prior investment. All of these are ways for an empty creditor to ‘force’ a borrower into bankruptcy.

One of the most famous examples of this was in 2008, with the case of Goldman Sachs and AIG. Goldman Sachs, is one of the largest trading partners and creditors of AIG, so when AIG were struggling to make debt repayments, they looked to Goldman Sachs for leniency and restructuring to work out a solution. However, Goldman Sachs famously demanded 1.5 billion dollars in collateral payments, just days before AIG faced total collapse and government bailout. Goldman Sachs stood to receive the debt amount from other CDS contracts, and therefore were indifferent to whether AIG defaulted (Hu, 2018). This is a golden example of how CDS contracts incentivize business to make unethical business decisions, regardless of its impact on the industry. This decoupling of rights and risk is ethically problematic because the creditor is essentially using a contract (the loan) not to facilitate business, but as a "Trojan Horse" to destroy companies for a profit. This behavior undermines the entire purpose of the credit market, turning lending into a predatory trap rather than a tool for economic growth.

IV. Engineering Outcomes: Case Studies in Manipulation

But what exactly do weaponized CDS contracts look like in real world situations? The blueprint explained above is the general idea, however real world application comes with a little more nuance. To fully understand how the “Power Elite” use CDS contracts to prey on financial institutions, it is necessary to understand historic cases of CDS manipulation.

A. The Hovnanian Case: The Manufactured Default

The 2018 case of Hovnanian Enterprises serves as the "smoking gun" for CDS manipulation. Hovnanian, while not a company on the verge of bankruptcy, was still struggling financially. In this case, the hedge fund GSO Capital, a division of Blackstone and an elite private credit firm, stepped in to relieve the struggling. GSO offered Hovnanian a very small, cheap loan, one with terms that were almost too good to be true. Of course, GSO purchased CDS insurance from Solus Alternative Management, a standard financial practice in the credit industry. This transaction would have been a completely ethical and a normal business relationship between all three parties, if not for one fact. In the shadows of the loan GSO offered, there existed a bizarre condition: Hovnanian had to purposefully miss a small interest payment to one of its own subsidiaries, or they would have to repay the entire debt in full (Fletcher, 2019, p.1105). Shortly following the deal being finalized, Hovnanian defaulted on one of their payment obligations to GSO.

This was not a "real" bankruptcy; Hovnanian had the money to make the debt payments. Instead, it was a manufactured default. Because GSO held a massive "short" position in CDS, this tiny, purposeful mistake triggered a payout worth 333 million dollars (Rubin, 2018). To better understand this, refer to the payoff matrix below:

Payoff Matrix	Hovnanian Repays Their Debt	Hovnanian Defaults on Their Debt
GSO without CDS	Low Payoff GSO Low Payoff Hovnanian	Low Payoff GSO High Payoff Hovnanian
GSO with CDS	Low Payoff GSO Low Payoff Hovnanian	High Payoff GSO High Payoff Hovnanian

As illustrated above, all but one scenario leads to a low payoff for either GSO or Hovnanian. For GSO, offering such a small company a minute loan provides very little profit in interest. Thus, there is almost no way for GSO to achieve a high payoff without utilizing CDS insurance, embodying the true nature of the Empty Creditor. For Hovnanian, as long as they defaulted on their debt, they would receive favorable terms, thus receiving a high payoff regardless of whether GSO purchased CDS insurance.

Applying game theory, we can see that the dominant strategy for both the lender and borrower is to conspire to trigger a default, leading to the greatest benefit for both parties. However, keeping in mind the fact that CDS operates in a zero-sum framework, the money gained by both the lender and borrower must be lost by a third party. This third party is the seller of the CDS insurance contracts, Solus, which in the event a default occurs, faces bankruptcy.

This wasn't a real transaction, but rather an elite firm using its massive capital to buy a default. This maneuver demonstrates how members of the 'Power Elite' are able to redefine financial reality to suit their strategic needs; they are able to occupy 'command posts' deciding

on matters of major consequence (Mills, 1956). In this case, GSO exercised its power as an elite private credit firm to redefine a 'default' into a 'faux' event solely to trigger an insurance payout (Hu, 2018).

Even though regulating bodies, like ISDA, may have been forced to alter the financial standards due to this case, the fact that this was able to occur proves CDS unethical influence at its finest: the elite players manufactured a crisis to force a payout, proving that the market is no longer driven by economic reality, but by whoever can best manipulate a CDS contract the best (Fletcher, 2019, p.1106).

B. The RadioShack Case: Keeping the "Zombie" Alive

While GSO wanted Hovnanian to fail, other cases involve lenders trying to prevent a default, but only for a short time. Before explaining the case of RadioShack, it is important to understand the element of time within a CDS contract. Due to the nature of the instrument, CDS insurance is only valid for a set period of time. Financial institutions must constantly pay premiums to renew the insurance. In the case of RadioShack, certain banks had sold CDS protection, meaning they would lose money if RadioShack defaulted. When the company was on the verge of collapse, one such bank, Standard General, provided "rescue" loans (Fletcher, 2019, p.1112).

However, these loans were not altruistic. Rather than saving the company, critics argue this lifeline was in-fact "zombie loans" designed to keep RadioShack alive just long enough for the Standard General's CDS contracts to expire. The reason for much of the industry viewing these actions as manipulative was because of the timing the 'rescue loans' were provided.

Specifically, in October of 2014, while the CDS contracts were still active, Standard General provided financing to RadioShack and were able to keep the company alive until December of 2014, as of which their contracts expired (Hu, 2018, p.23). Once the contracts expired and the banks were no longer at risk, they allowed the company to fall into bankruptcy.

To best understand how the incentives of Standard General and RadioShack are different from the previously mentioned case of GSO and Hovnanian, it is best to look at the outcomes both parties faced. To better visualize the difference, refer to these two payoff matrices:

Hovnanian Case

Payoff Matrix	Hovnanian Repays Their Debt	Hovnanian Defaults on Their Debt
GSO without CDS	Low Payoff GSO Low Payoff Hovnanian	Low Payoff GSO High Payoff Hovnanian
GSO with CDS	Low Payoff GSO Low Payoff Hovnanian	High Payoff GSO High Payoff Hovnanian

RadioShack Case

Payoff Matrix	RadioShack Repays Their Debt	RadioShack Defaults on Their Debt
Standard General without CDS	Low Payoff Standard General High Payoff RadioShack	Low Payoff Standard General Low Payoff RadioShack
Standard General with CDS	High Payoff Standard General High Payoff RadioShack	Low Payoff Standard General Low Payoff RadioShack

In this scenario, RadioShack's dominant strategy mirrored traditional borrower incentives, where the highest payoff was found in debt repayment rather than default. As the seller of the CDS contracts, Standard General shared this very interest; a default would have triggered massive insurance payouts to protection buyers. Consequently, Standard General's

strategic priority was to ensure RadioShack avoided a credit event, creating a 'hidden interest' in the firm's temporary survival.

This case may have a different blueprint for CDS manipulation, but one element remains constant: a member of the Power Elite–Standard General–redefining what is considered a default, breaching ethical business behavior to extract funds from buyers rather than sellers (Hu, 2018). This is just another one of the multiple ways elite financial institutions unethically use CDS swaps to steal money from the financial industry.

C. The McClatchy Case: The "Orphaning" Strategy

Another such method of manipulation is known as "orphaning". Orphaning a company is simply a process removing all legal connections to a subsidiary company while maintaining ownership. One key aspect is that the subsidiary company can assume the responsibility of the parent company's debt. Thus, if the orphaned company were to go bankrupt, the parent company would not face financial and legal implications.

In the case of the newspaper giant McClatchy, the company went through a similar restructuring where its debt was moved from the parent company to a smaller subsidiary. Under normal circumstances, this would not have an adverse effect on outside parties, and common practice for large financial institutions. However, in this case there was a key element that is obscured. The debt, once moved from the parent company to the subsidiary, rendered the millions of dollars of CDS insurance purchased on McClatchy's debt worthless (Fletcher, 2019, p.1115). This is because once the debt shifted hands from the parent to the subsidiary, there was no more debt to 'default' on, even if the enterprise was failing. The 'naked' investors who

bought those CDS contracts as insurance were left with nothing, even though the company was clearly in distress.

This move was engineered by elite creditors who wanted to "negate" the CDS protection they had sold to investors outside the 'Power Elite'. This once again highlights the Elite Theory argument: the Power Elite does not just play the game; they change the definitions of the words within the game to ensure they always stay on the winning side.

V. The Safety Net: Too Big to Fail

Now that we have established the multitude of ways elite financial institutions manipulate CDS contracts, we must now look at the effects these decisions have on the greater industry, and society as a whole.

All three of these cases (Hovnanian, RadioShack, and McClatchy) highlight the unethical business decisions that CDS insurance contracts permit, and how they are used by elite financial institutions to steal money from the greater financial industry. However, the real problem lies not in the fact they are stealing, but rather whom this 'Power Elite' are stealing from: pensions, endowments, and sovereign wealth funds. When these specific investors lose their money, people don't get their pensions, they can't pay their mortgages, buy food for their families, or even pay for the roof they live under.

So how are they able to take such large risks knowing these negatives? How are GSO partners able to put up hundreds of millions of dollars on a simple promise? How is Standard General able to put up a very large percentage of their worth on a single company? The reason elite institutions can play these high-stakes games is the historical precedent of Too Big To Fail

(TBTF). Originating in the 1970s with bailouts like the Bank of the Commonwealth, regulators feared that large bank failures would cause a systemic panic (Nurisso and Prescott, 2017, p.3). If a large bulge bracket bank were to fail, millions of people would lose substantial amounts of money. The economy would collapse as people would lose their ability to spend their capital, driving down consumption. Trust in the banking system would vanish overnight.

During the 2008 crisis, this is exactly what happened. We lost almost 13% of our output as a country due to the failure of large banks and insurance contracts (Hall, 2014). 13% may not seem like a large-scale crisis, but this left millions without jobs, struggling to find work and pay bills. The millions that were struggling were the working class, living paycheck to paycheck. The government sought to solve this crisis with programs like TARP which provided billions to stabilize elite financial institutions (U.S. Department of the Treasury, 2023). The hope was once these bailouts reached the financial industry, banks would be able to operate as normal once again, and the prosperity of these elite financial institutions would trickle down into the hands of the greater society. To the credit of TARP, the economy was able to restart faster. However, this creates a moral hazard: the elite keep the profits when their "engineered" bets work, but the public pays for the bailout when the system breaks (Nurisso and Prescott, 2017, p.5). Many critics of the current government response have protested the practice of socializing the losses while privatizing the gains. However, their complaints fall on deaf ears, especially because the 'Power Elite' have a concentration of control within the political and corporate sphere. With the government not taking actionable steps to protect the financial industry, the power elite can accumulate more and more power, widening the gap between society and those at the top.

VI. Conclusion

Credit Default Swaps have moved far beyond their original purpose as insurance. They are now weapons of "net-short debt activism", where the Power Elite uses game-theory-driven strategies to ensure they never lose (Feltman et al., 2018). However the real danger lies not in one unethical trade, but rather the existence of a class that is immune to the consequences of its own actions. By controlling the rules through ISDA and relying on the government safety net of TBTF, these institutions have created an unethical system where wealth is redistributed from the vulnerable to the elite. To protect market integrity, we must look beyond the "contractual acceptability" of these trades and address the systemic harm they cause (Fletcher, 2018, p.1130).

But all of this begs the question: How could we mitigate the unethical effects of CDS manipulation? The short answer is that fully removing the negative effects entirely is impossible. Rather, there are steps that can be taken to decrease its toll on society. The most effective way would be through the use of regulation. Prohibiting the existence of "naked" holders of CDS contracts would limit the relationship to three parties, thus giving agencies the power to hold certain organizations accountable. Furthermore, restricting the positions elite institutions are able to hold a trade, specifically 'net-short' positions, would greatly reduce the incentive to collude between parties. Further research and development of these policies must be done to fully understand and account for the complexity of the financial instrument used by these elite institutions.

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